Timing the Turns

A Fibonacci 21-year bear market in commodities from the 1980 high would produce a price low in 2001. This outcome would fit fairly closely the scenario for gold suggested in Chapter 17 and the outlook for stocks outlined in Chapter 5 if it is to be accompanied by a general deflation, as outlined in Chapter 14.

The study of the multi-century price trends in commodities shown in Figure 18-7 is not similarly conclusive, but does communicate some interesting information. The commodity explosion of this century took prices to the upper parallel of a trend channel that began in the mid-1400s. This line is major resistance and is an additional technical reason why commodities began a bear market at that level. On the other hand, the Elliott Wave pattern appears bullish for the long term, as you can see by the labeling. In addition, there may be a 221-year cycle operating in commodities, as the three major lows of 1455, 1672 and 1897 are 221 years apart. With 98 years having passed since the last low, the cycle is in its multi-decade manic phase now. In other words, the bear market now in progress may prove ultimately to be only a temporary, if deep, interruption of the larger trend toward higher prices. The pressures and trends

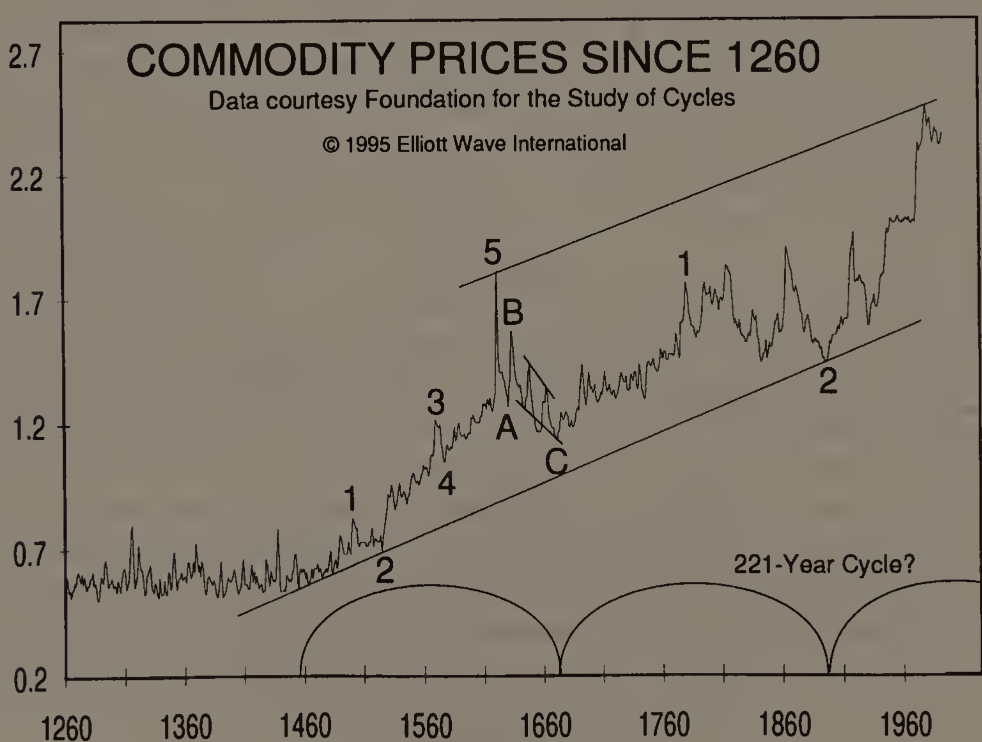

Figure 18-7